Validation and AI Use - refreshed working record

Active date September 14,2026 close. Model and scripts prepared with Codex desktop assistance; GPT-6 family is exposed in session, exact deployed model/version unavailable. This record is a draft pending actual receipt, human locked record, final student acceptance and recordings. Source retrieval timestamps and exact hashes are retained in data/source_manifest.json.

Human and AI ownership

Alex Schwanke supplies INITIATE as his judgment and reports an AI-closed exchange with Jess Tran on October 16,2026, version label1. Jess questioned the original0.57% FCFF growth, thought it low, summarized his conclusion as valid with new Siri information, and praised reassessment. Alex reports Yahoo checks for beta/Treasury information and filing checks for balance-sheet/income inputs. Exact checked fields/values/dates remain unspecified. The assistant located sources afterwards; do not attribute those new checks to a remembered meeting page.

Alex questioned NVIDIA's AI concentration and suggested an AI-bubble-burst scenario. He clarifies he manually checked beta; value/provider/date/result are unspecified, so no10-K-based beta or whole-WACC certification is claimed. Jess challenged Siri hype versus utility, recommended investigating Apple's benefits, and identified Services revenue and risk of falling behind in AI. Alex reports no misunderstanding and no other questions. Those Apple remarks do not establish Jess's NVIDIA recommendation or its explanation-back.

Alex confirms the professor permits AI-assisted Edition A submission now and that it is on time; this is student-reported. A current candidate was prepared after the model, without claiming a previous receipt. The separate human-authored AI-off prediction/run exception was not reported. No human locked record is created by the assistant. Actual recording transcripts must be derived from actual recordings; narration drafts are not substituted.

Tests and financial verification

Claim / risk	Test / expectation	Result / disposition
DCF engine	Official course twelve training outputs	Within0.0001; per-share27.4974
New source boundary	All selected filed dates<=September 14; snapshot hashes	Pass
Base history	TTM annual+current9m-prior9m; assets=L+E; cash ties	Pass after intangible correction
Source/definition mismatch	Financial statement intangible20,342 versus generic tag25,417	Use explicitly reported line; qualify mismatch
Forecast articulation	All five years, cases and stresses; FCFF/CFO bridge	Pass; signed cash retained
Failure injection	Unsupported cash and financing in FCFF	Rejects loudly
DCF boundaries	Invalid WACC/g, nonfinite input, zero shares	Rejects
Monotonicity	Higher WACC lowers value; sustainable g increases it at selected ROIC	Pass, conditional on convention
EV-equity bridge	EV+116,517-84,344, divided by 14,649.59625m shares	Pass
Peer consistency	Same price/marketcap/GAAPNI/EBIT and EV definition	Pass; Alphabet gains/class proxy qualify interpretation
Reverse DCF	Solve to 333.08	Pass; not unique revenue expectation
Directional technical probe	Before execution: iPhone path+2pp raises EBIT/FCFF/value, other independent inputs fixed	Pass; AI-assisted, not human locked test
Alternative terminal method	Zero extra years equals core; growing duration raises value where ROIC exceeds WACC; growth funded at incremental ROIC	Pass
Judgment conflict	Student initiate shown separately from model-based watch assessment	Pass; no artificial valuation change to agree

Claim / risk	Test / expectation	Result / disposition
Clean end-to-end run	Fresh isolated standard-library environment, tests plus output generation	See cold-run-log.txt

Thirteen financial/model groups and four evidence-tool tests (17 total) cover these claims; assertions within tests inspect all years/cases. First genuine refresh failure: assets were short20,342m because the updated filing separately presents intangible assets. Corrected with an explicit source line, not a balancing plug. The actual filing raw snapshot and ledger preserve the basis. No claim is made that a passing accounting check proves the AI thesis.

AI-assisted changed-input expectation and result

The expectation is written in test_model.py before execution: add2 percentage points to every annual iPhone growth assumption, leaving other independent inputs fixed; expect EBIT, FCFF and value to rise. This is a technical AI-assisted test. The saved directional-test.json contains exact old/new values, units, model hash, timestamp, before/after outputs and action diagnosis. Its result does not satisfy the independent human requirement.

Locked changed-input record - supplied judgment, qualified protocol

Alex's actual prediction and post-run judgment are now preserved in alex-growth-precommit.json and alex-growth-run.json. The original0.57% to1% FCFF exercise was committed before assistant execution. He predicted1.5x valuation and Buy unchanged; actual1.0184x. His diagnosis: he did not do the exact math beforehand; actual recommendation remains Buy. AI performed the technical execution. No AI-off declaration is inferred, and the original historical engine differs from the active operating model. Acceptance of this workflow/scope under the professor's reported division of work remains an instructional question; no completed strict AI-off protocol is claimed.

Material AI-use / disposition register

Material use	Evidence/check	Disposition
Incorporate actual Jess/Alex answers	User supplied exchange details and named Yahoo	Accept actual attribution; do not invent remaining memories
Siri date correction	OfficialSeptember14,2026 release; user elected new date	Correct old evidence/date mismatch
Refresh financials, prices, shares and rates	SEC filed-date filters, officialTreasury and Yahoo snapshots	Accept with date/basis proxies disclosed
New intangible and TTM reconstruction	Official10-Q and arithmetic	Correct missing line; qualify generic tag mismatch
Forecast, terminal fade, tests and scripts	Known answer, articulation, boundary/direction/duration checks	Technically accepted; economic assumptions need human ownership
Memo and committee recommendation wording	Student says initiate; model results show gap	Preserve both, qualify valuation support; do not fabricate consensus

Earlier material ChatGPT/Codex use is documented in the historical folder. Its unexposed exact model versions are not invented. Source links, contaminations and assumption challenges are in sources-and-normalization.md and assumption-challenges.csv.

Unresolved limitations and freeze

Same-day Siri announcement timing; June opening proxies; narrow WC and frozen other/tax balances; estimated D&A allocation; judgmental tariff margin reserve; discount assumptions rather than fully quoted ERP/bond costs; dilution proxy; sparse qualified peers; and the long terminal runway all constrain precision. The final package must add receipt, completed human record, actual transcripts/video URLs/access evidence, remaining partner details and final accepted assumptions. The working Markdown and frozen PDF must match at submission.

October16 decision addendum

Alex accepts initiation at333.08 and authorizes a proposed5% high-case upside hurdle. The350.48 extended high narrowly clears349.73 required value. See Initiation-Defense.pdf for downside asymmetry. No model forecasts changed.